

CONSUMER CREDIT POLICY MANUAL

Effective Date: January 1, 2025

Version: 1.0

Department: Credit Risk Management

Quick Navigation

- [\[What This Policy Covers\]\(#what-this-policy-covers\)](#)
 - [\[Core Lending Rules\]\(#core-lending-rules\)](#)
 - [\[Mortgage Loans\]\(#mortgage-loans\)](#)
 - [\[Home Equity Products\]\(#home-equity-products\)](#)
 - [\[Auto Loans\]\(#auto-loans\)](#)
 - [\[Credit Cards\]\(#credit-cards\)](#)
 - [\[When to Make Exceptions\]\(#when-to-make-exceptions\)](#)
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What This Policy Covers

Who Needs to Follow This?

Everyone involved in consumer lending decisions - from loan officers to underwriters to branch managers. This is your playbook for making sound credit decisions.

What Products Are Included?

- **Home Loans:** First mortgages, home equity loans, and HELOCs
- **Vehicle Loans:** New and used auto loans
- **Credit Cards:** All consumer card products

Why Do We Have This Policy?

Simple - we want to:

- Make consistent lending decisions
 - Treat all customers fairly
 - Keep our loan losses manageable
 - Stay compliant with regulations
 - Give you clear guidance on what's acceptable
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Core Lending Rules

The Foundation: Five C's of Credit

Every loan decision should consider these five factors:

1. **Character** → How they've handled credit before
2. **Capacity** → Can they afford the payment?
3. **Capital** → What are they putting down?
4. **Collateral** → What's backing the loan?
5. **Conditions** → What's the economy doing? Why do they need the money?

Documentation Requirements

What We Always Need:

- Proof of income (recent pay stubs, W-2s, tax returns)
- Bank statements showing assets
- Employment verification
- Credit reports from all three bureaus
- Valid ID and SSN verification

How Fresh Should Documents Be?

Document Type	Maximum Age	Why It Matters
Credit Reports	90 days	Credit can change quickly
Pay Stubs	30 days	Need current income
Bank Statements	60 days	Assets need to be verified
Appraisals	120 days	Property values are more stable

MORTGAGE LOANS

What We Offer

Fixed-Rate Mortgages

- 30-year (most popular)
- 20-year (faster payoff)
- 15-year (best rates)

Adjustable-Rate Mortgages (ARMs)

- 5/1 ARM - Fixed for 5 years, then adjusts annually
- 7/1 ARM - Fixed for 7 years, then adjusts annually

Government-Backed Loans

- FHA - Great for first-time buyers
- VA - For veterans and active military
- USDA - Rural property purchases

Credit Score Requirements

Here's the minimum credit score needed for each loan type:

Loan Type	Minimum Score	Key Details
Conventional Loans		
• 20% down or more	680	Best rates available at 740+
• Less than 20% down	720	Will need PMI
FHA Loans		
• 3.5% down	580	Most common FHA scenario
• 10% down	500-579	Higher down payment required
VA Loans	620	No down payment needed
Jumbo Loans	740	For loans over \$766,550

Note: We use the middle score of three bureaus, or lower of two if only two reports available

Down Payment Requirements

For Primary Residences (where you'll live):

- Minimum: 3% for first-time buyers
- Standard: 5% for repeat buyers
- Ideal: 20% to avoid PMI

For Second Homes (vacation properties):

- Minimum: 10% down
- Better pricing at 20% down

For Investment Properties (rentals):

- Minimum: 20% down
- Better pricing at 25% down

Debt-to-Income (DTI) Limits

We look at two ratios to ensure borrowers aren't overextended:

Housing Ratio (Front-End DTI)

- Your housing payment ÷ gross monthly income
- Maximum: 28%
- Includes: Principal, interest, taxes, insurance, HOA

Total Debt Ratio (Back-End DTI)

- All monthly debts ÷ gross monthly income
- Standard Maximum: 43%
- With compensating factors: Up to 50%

When We'll Accept Higher DTIs (up to 50%):

- Credit score above 760
- 12+ months of reserves after closing
- Putting 30% or more down
- Strong residual income after all bills

Income That Counts

What We Can Use:

- Base salary (need 2 years at same job/field)
- Overtime (if received for 2+ years, we'll average it)
- Bonuses (2-year average)
- Commission (need 2-year history)
- Self-employment income (2 years of tax returns)
- Investment income (if documented and continuing)
- Retirement/pension income
- Alimony/child support (if continuing 3+ years)

What We Can't Use:

- Income that's ending soon
- Unreported cash income
- Projected future raises
- One-time bonuses or gifts

Reserve Requirements

After closing, you should still have money left over:

Loan Type	Minimum Reserves
Primary Home (LTV ≤80%)	2 months PITI
Primary Home (LTV >80%)	2-4 months PITI
Second Home	4 months PITI
Investment Property	6 months PITI

PITI = Principal, Interest, Taxes, Insurance

HOME EQUITY PRODUCTS

Home Equity Lines of Credit (HELOC)

Basic Requirements:

- Maximum combined LTV: 80% (first mortgage + HELOC)
- Minimum credit score: 700
- Maximum DTI: 43%
- Owner-occupied properties only

How Much Can Someone Borrow?

Credit Score	Max CLTV	Notes
740+	80%	Best rates
720-739	75%	Standard rates
700-719	70%	Higher rates

Draw Period: 10 years (interest-only payments)

Repayment Period: 20 years (principal + interest)

Home Equity Loans (Fixed Second Mortgages)

Basic Requirements:

- Maximum combined LTV: 85%
- Minimum credit score: 680
- Maximum DTI: 45%
- Fixed rates only

Loan Terms Available:

- 5 years
- 10 years
- 15 years
- 20 years

AUTO LOANS

New Vehicle Loans

Credit Tiers and Terms:

Credit Score	Max LTV	Max Term	Rate Tier
750+	100%	84 months	Tier 1 (Best)
700-749	95%	72 months	Tier 2
650-699	90%	60 months	Tier 3
600-649	85%	48 months	Tier 4
Below 600	Decline	-	-

Used Vehicle Loans

Based on Vehicle Age:

Vehicle Age	Max LTV	Max Term	Other Requirements
0-2 years	95%	72 months	Under 30,000 miles
3-5 years	90%	60 months	Under 60,000 miles
6-8 years	85%	48 months	Under 80,000 miles
9-10 years	80%	36 months	Under 100,000 miles
Over 10 years	Not eligible	-	-

Income Requirements:

- Minimum gross income: \$2,000/month
- Maximum payment-to-income: 20%
- Proof of income required for loans over \$25,000

Down Payment Guidelines:

- Credit score 750+: No down payment required
- Credit score 700-749: 5% recommended
- Credit score 650-699: 10% required

- Credit score 600-649: 15% required
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CREDIT CARDS

Application Requirements

Minimum Qualifications:

- Age: 18+ (21+ for students without co-signer)
- Credit score: 640 minimum
- Income: \$15,000 annual minimum
- No bankruptcies in last 2 years
- No charge-offs with our bank ever

Credit Line Assignment

Credit Score	Income	Typical Credit Line
750+	<\$50k	\$5,000 - \$10,000
750+	\$50k-\$100k	\$10,000 - \$25,000
750+	>\$100k	\$25,000+
700-749	<\$50k	\$2,500 - \$5,000
700-749	\$50k-\$100k	\$5,000 - \$15,000
700-749	>\$100k	\$15,000 - \$25,000
640-699	Any	\$500 - \$2,500

Debt-to-Income Consideration:

- DTI <30%: Full credit line approval
- DTI 30-40%: Reduced credit line
- DTI >40%: Likely decline unless strong compensating factors

Annual Fee Structure

- Premium Rewards Card: \$95 (waived first year)
 - Cash Back Card: No annual fee
 - Secured Card: \$29 annual fee
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WHEN TO MAKE EXCEPTIONS

Who Can Approve Exceptions?

Exception Type	Approval Authority
DTI 44-50%	Senior Underwriter
Credit score 20-40 points below minimum	Underwriting Manager
Credit score >40 points below minimum	Chief Credit Officer
Multiple exceptions	Loan Committee

Valid Reasons for Exceptions

Strong Compensating Factors:

- Significant assets (6+ months reserves)
- Long banking relationship (5+ years)
- Large down payment (30%+ for mortgages)
- Co-signer with excellent credit
- Documented temporary hardship now resolved

What's NOT a Valid Exception Reason:

- "They seem nice"
- "It's a small loan"
- "They promised to pay"
- "They're related to an employee"

Exception Documentation

Every exception must include:

- Specific policy requirement being waived
- Compensating factors present
- Additional risk mitigation (if any)
- Approval signature and date

COMPLIANCE AND FAIR LENDING

Fair Lending Principles

We NEVER make credit decisions based on:

- Race, color, religion, national origin
- Sex, gender identity, sexual orientation
- Marital status or familial status
- Age (if of legal age to contract)
- Receipt of public assistance
- Exercise of rights under consumer credit laws

Required Disclosures

Timing Requirements:

- Credit cards: Approval/denial within 30 days
- Mortgages: Loan Estimate within 3 business days
- Auto loans: Approval/denial within 7 days
- Adverse action notices: Within 30 days

Quality Control

Monthly Reviews:

- 10% sample of all approvals
- 100% of all exceptions
- 100% of all declines (for fair lending)

Annual Requirements:

- Fair lending analysis
 - Policy review and update
 - Staff training on policy changes
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APPENDICES

A. Glossary of Terms

- CLTV:** Combined Loan-to-Value
- DTI:** Debt-to-Income Ratio
- FICO:** Fair Isaac Corporation (credit score)
- LTV:** Loan-to-Value Ratio
- PITI:** Principal, Interest, Taxes, Insurance
- PMI:** Private Mortgage Insurance
- VOE:** Verification of Employment

B. Quick Decision Matrix

Product	Min Score	Max DTI	Max LTV	Key Requirement
Conventional Mortgage	680	43%	95%	2 months reserves
FHA Mortgage	580	43%	96.5%	3.5% down
HELOC	700	43%	80%	Owner-occupied
Auto (New)	600	50%	100%	Proof of income
Credit Card	640	40%	N/A	\$15k min income

C. Regulatory References

- Truth in Lending Act (TILA)
- Equal Credit Opportunity Act (ECOA)
- Fair Housing Act (FHA)
- Real Estate Settlement Procedures Act (RESPA)
- Fair Credit Reporting Act (FCRA)
- Dodd-Frank Act
- Qualified Mortgage (QM) Rules
- Ability-to-Repay (ATR) Requirements

For questions about this policy, contact:

Credit Policy Department

Extension: 2100

Email: creditpolicy@bank.com

Remember: This policy is a guide. Good judgment and common sense should always apply. When in doubt, escalate to management.

End of Credit Policy Manual